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STATE OF COLORADO

COLORADO DEPARTMENT OF PUBLIC HEALTH AND ENVIRONMENT
AIR POLLUTION CONTROL DIVISION
TELEPHONE: (303) 692-3150

CONSTRUCTION PERMIT

PERMIT NO: **05BO0703**

INITIAL APPROVAL

DATE ISSUED: **APRIL 11, 2006**

ISSUED TO: **Cemex, Inc.**

THE SOURCE TO WHICH THIS PERMIT APPLIES IS DESCRIBED AND LOCATED AS FOLLOWS:

Portland cement manufacturing facility, known as **Lyons Cement Plant**, located at 5134 Ute Highway, Lyons, Boulder County, Colorado.

THE SPECIFIC EQUIPMENT OR ACTIVITY SUBJECT TO THIS PERMIT INCLUDES THE FOLLOWING:

One (1) Custom, cement railcar unloading and handling system. This system consists of:

One (1) hopper to receive cement from bottom unloading railcars.
One (1) screw conveyor to convey and transfer cement from hopper to pneumatic pump.
One (1) pneumatic transfer system for conveying cement to silo/s.

Particulate matter emissions are controlled with one (1) pulse jet baghouse, identified as **BH 725-4**.

THIS PERMIT IS GRANTED SUBJECT TO ALL RULES AND REGULATIONS OF THE COLORADO AIR QUALITY CONTROL COMMISSION AND THE COLORADO AIR POLLUTION PREVENTION AND CONTROL ACT C.R.S. (25-7-101 et seq), TO THOSE GENERAL TERMS AND CONDITIONS INCLUDED IN THIS DOCUMENT AND THE FOLLOWING SPECIFIC TERMS AND CONDITIONS:

1. This permit shall expire if the owner or operator of the source for which this permit was issued: (i) does not commence construction/modification or operation of this source within 18 months after either the date of issuance of this initial approval permit or the date on which such construction or activity was scheduled to commence as set forth in the permit application associated with this permit; (ii) discontinues construction for a period of eighteen months or more; or (iii) does not complete construction within a reasonable time of the estimated completion date (See General Condition No. 6., Item 1.). Upon a showing of good cause by the permittee, the Division may grant extensions of the permit. (Reference: Regulation No. 3, Part B, Section III. F. 4.)

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2. If multiple provisions apply, the most stringent provision shall be applicable.

3. Within one hundred and eighty days (180) after commencement of operation, compliance with the conditions contained on this permit shall be demonstrated to the Division. It is the permittee's responsibility to self certify compliance with the conditions. Failure to demonstrate compliance within 180 days may result in revocation of the permit. (Information on how to certify compliance was mailed with the permit.)

4. AIRS Point ID number (for example, "AIRS PT ID: 050") shall be marked on the subject equipment for ease of identification. (Reference: Regulation No. 3, Part B, Section III. E.) (State only enforceable)

5. Prevention of Significant Deterioration (PSD) requirements shall apply to this source at any such time that this source becomes major for PSD solely by virtue of a relaxation in any permit condition. Any relaxation that increases the potential to emit above the applicable PSD threshold will require a full PSD review of the source as though construction had not yet commenced on the source. The source shall not exceed the PSD threshold until a PSD permit is granted. (Reference: Regulation No.3, Part D, Section VI.B.4.)

6. Prior to final approval being issued, the applicant shall submit to the Division for approval an operating and maintenance plan for all control equipment and control practices, and a proposed record keeping format that will outline how the applicant will maintain compliance on an ongoing basis with the requirements of this permit. The operating and maintenance plan shall commence at startup. (Reference: Regulation No. 3, Part B, Section III. G. 7.)

7. This source is subject to Regulation No. 8, Part E-Federal Maximum Achievable Control Technology (MACT) for Control of Hazardous Air Pollutants (Chapter 1, Title 40 Part 63), Subpart LLL, including, but not limited to:

   Discharge into the atmosphere shall not exhibit 10 % opacity, or greater.

   In addition, the source is also subject to applicable portions of Subpart A-General Provisions.

8. This source shall be limited to a throughput/s as listed below and all other activities, operational rates and numbers of equipment as stated in the application. Monthly records of the actual throughput shall be maintained by the applicant and made available to the Division for inspection upon request. (Reference: Regulation No. 3, Part B, Section II. A. 4.)

   Unloading and handling of cement shall not exceed 50,000 tons per year.

   Compliance with the yearly production limits shall be determined on a rolling twelve (12) month total.

9. Prior to initiating the discharge from the railcar into the unloading hopper, the seals between the railcar and hopper shall be firmly engaged and the exhaust fan started to maintain a negative pressure of at least 3 inch water gauge in the hopper. After the railcar is emptied and the hopper is also emptied, the negative pressure shall be maintained for at least an additional 5 minutes to ensure all particulate matter is vented. A gauge showing the negative pressure shall be readily visible to the operator.

10. Emissions of air pollutants shall not exceed the following limitations (as calculated in the Division's preliminary analysis). Compliance with the annual limits shall be determined on a rolling (12) month total. By the end of each month a new twelve month total is calculated based on the previous twelve months' data. The permit holder shall calculate monthly emissions and keep a compliance record on site for Division review. (Reference: Regulation No. 3, Part B, Section II. A. 4)

Particulate Matter:	0.6 ton per year.
PM10 (Particulate Matter<10 μm):	0.3 ton per year.

Compliance with the yearly emission limits shall be determined on a rolling twelve (12) month total.

11. This source shall be equipped with a pulse jet fabric filter baghouse capable of limiting the outlet particulate matter concentration to less than 0.02 grain per dry standard cubic foot, and achieve at least 99 % control efficiency for Particulate Matter and Particulate Matter less than 10 micrometers in aerodynamic diameter (PM_{10}). Operating parameters of the control equipment shall be identified prior to final approval of this permit. The identified operating parameters will replace the control efficiency requirement on the final permit. (Reference: Regulation No.3, Part B, Section III. E.)

The emissions control device/s shall be inspected, monitored, maintained / renewed, and operated as per the recommendations of the manufacturers, and ensure satisfactory ongoing performance of the device/s. Records of such inspection, monitoring, maintenance, and operation shall be maintained, and made available to the Division for inspection upon request.

12. A Revised Air Pollutant Emission Notice (APEN) shall be filed: (Reference: Regulation No. 3, Part A, Section II.C.)

a. Annually whenever a significant increase in emissions occurs as follows:

For any criteria pollutant:

For sources emitting **less than 100 tons per year**, a change in actual emissions of five tons per year or more, above the level reported on the last APEN submitted.

b. Whenever there is a change in the owner or operator of any facility, process, or activity; or

c. Whenever new control equipment is installed, or whenever a different type of control equipment replaces an existing type of control equipment; or

d. Whenever a permit limitation must be modified; or

e. No later than 30 days before the existing APEN expires. APEN expires five (5) years from the date of submittal.

Ram N. Seetharam
Permit Reviewer

R K Hancock III, P.E.
Construction Permits Unit Supervisor

Notes to Permit Holder:

1) The throughput and emission limits contained in this permit are based on those requested in the permit application. These limits may be revised upon request of the permittee providing there is no exceedance of any specific emission control regulation or any ambient air quality standard. A revised air pollution emission notice (APEN) and application form must be submitted with a request for a permit revision.

2) This source is subject to the Common Provisions Regulation Part II, Subpart E, Upset Conditions and Breakdowns. The permittee shall notify the Division of any upset condition which causes a violation of any emission limit or limits stated in this permit as soon as possible, but no later than two (2) hours after the start of the next working day, followed by written notice to the Division explaining the cause of the occurrence and that proper action has been or is being taken to correct the conditions causing said violation and to prevent such excess emission in the future.

3) This source is classified as a:
Synthetic Minor Modification of a Major Stationary Source.

4) This source is subject to the provisions of Regulation No. 3, Part C, Operating Permits (Title V of the 1990 Federal Clean Air Act Amendments). The application for modification of the facility's Operating Permit is due within one year of commencing operation.

5) The emission levels contained in this permit are based on the following emission factors (pounds per ton of cement unloaded / handled):

Pollutant / Activity	EmiFactor	Emission Control/s	Cont.Eff. %
PT – Railcar to Hopper	0.6000	Sealing and air sweep / baghouse	98.00
PM10 – Railcar to Hopper	0.4000		98.00
PT – Screw, hopper to pump	0.4500	Baghouse, BH 725-4	99.00
PM10 – Screw, hopper to pump	0.2900		99.00